ULTRA SOUND MONEY

Ethereum's Post-Merge Supply Dynamics

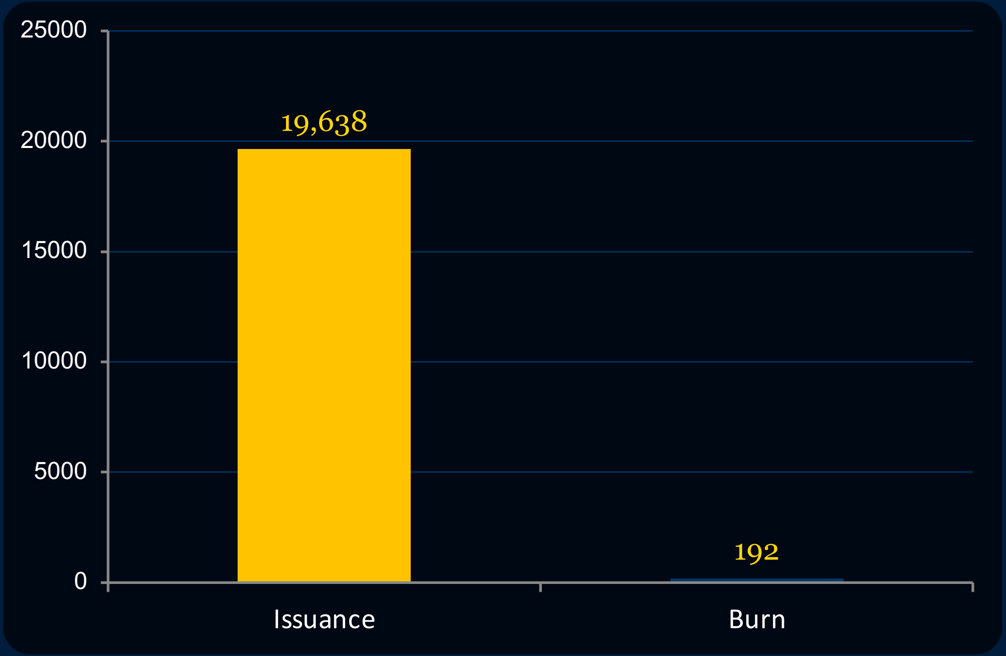
and Monetary Premium

121.6M ETH Supply | **0.1 Gwei** Gas | **$2,243** ETH Price

Source: ultrasound.money

ETH Supply Growing at +0.83%/Year

Only 192 ETH Burned in 7 Days Against 19,638 ETH Issued



Burn offsets only ~1% of new issuance at current gas levels

Current Supply

121,603,980 ETH

Net 7-Day Change

+19,445.89 ETH

Burn / Issuance Offset

0.01x

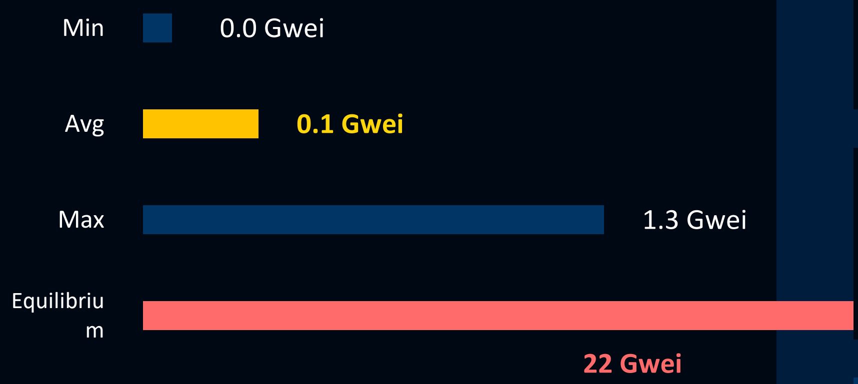
Annualized Growth Rate

+0.83% / year

Base Gas at Historic Lows: 0.1 Gwei Average

Low gas suppresses fee burn, keeping ETH temporarily inflationary

7-Day Gas Market (Gwei)



22 Gwei equilibrium is 220x current average

Blob Gas: avg 7.1M wei | 0.15 ETH burned ($319) over 7 days

EIP-1559 Burn Mechanism

Base fees are permanently burned on every transaction. When gas is high, ETH becomes deflationary. When gas is low, issuance outpaces burn.

Current State

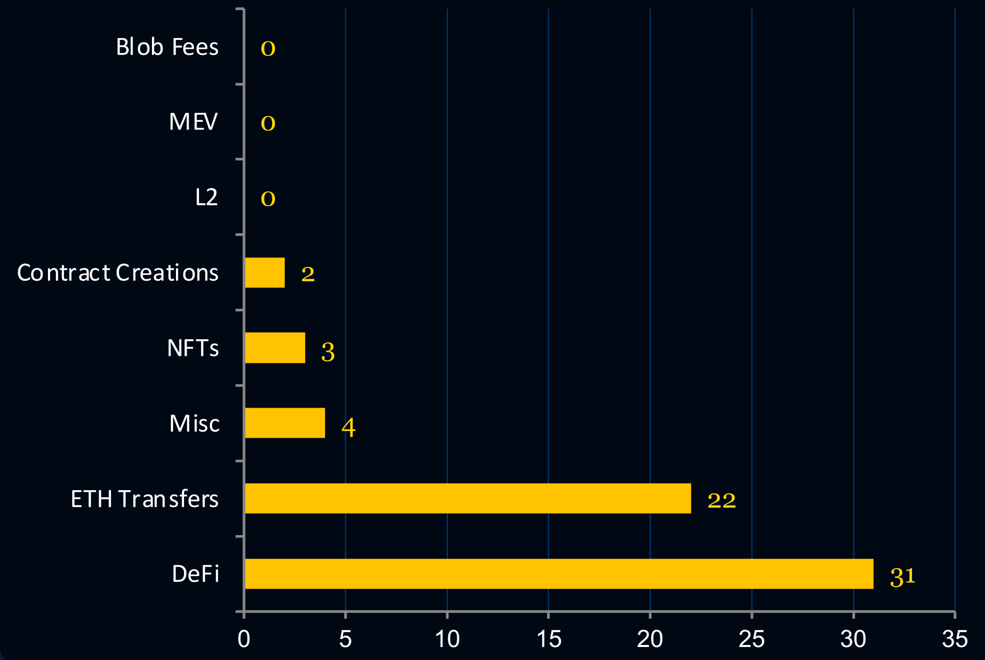
Gas at historic lows means burn is negligible. 192 ETH burned vs 19,638 ETH issued in 7 days. Offset ratio: just 0.01x.

Implication

Low gas = low burn = temporary supply inflation. The ultra sound money thesis requires a return to meaningful on-chain activity and higher gas prices.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn by category and top contracts



Total 7-Day Burn

~192 ETH

Top Burn Leaders (7-Day)

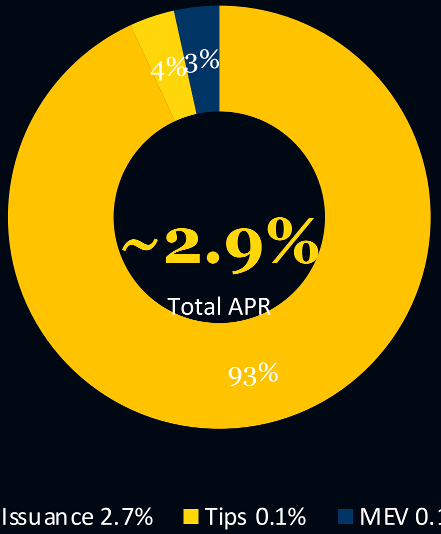
1. ETH Transfers — **21.74 ETH**
2. Tether USDT — **13.55 ETH**
3. DeFi Contracts — **~31 ETH (combined)**

Recent blocks: 0.00-0.01 ETH burned per block
7-day record: 0.07 ETH in a single block

85% of burn comes from DeFi (31 ETH) + ETH transfers (22 ETH). L2, MEV, and blob fees contribute 0 ETH at current activity levels.

38.9M ETH Staked at 2.7% Issuance Rewards

Minimal tips and MEV — issuance dominates validator returns



ETH Staked

38.9M

32% of supply

Locked in Contracts

9.1M ETH

Avg 10.7 years

Validator Reward Breakdown

Reward Type	Amount	APR
Issuance	0.9 ETH/validator	2.7%
Tips	0.0 ETH	0.1%
MEV Estimate	0.0 ETH	0.1%

PoS Issuance Rate

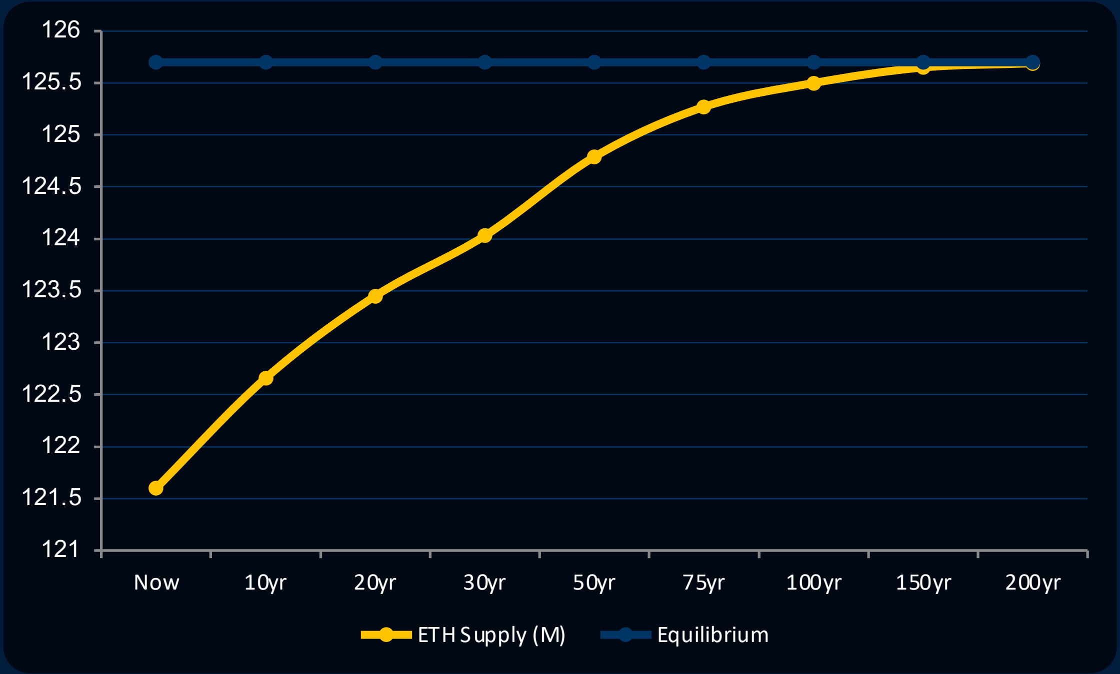
~2,800 ETH/day

Fee Burn (normalized)

~2,200 ETH/day

Long-Term Equilibrium at 125.7M ETH

200-year supply trajectory with 1,037K ETH/year issuance-burn balance at equilibrium



Projection Parameters

ETH Staked	**39M**
Base Gas Assumption	**22 Gwei**
PoS Issuance	**2.8K ETH/day**
Fee Burn	**2.2K ETH/day**
Equilibrium Burn	**1,037K ETH/yr**

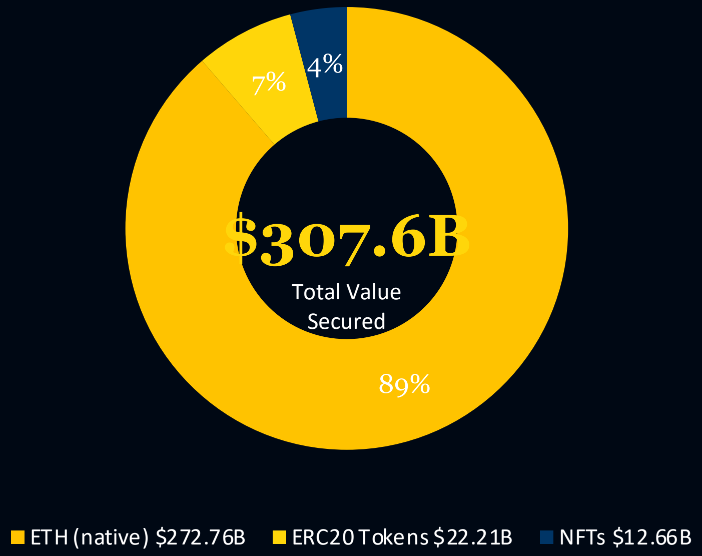
Historical Era Transitions

- Genesis: 5 ETH/block
- Byzantium: 3 ETH/block
- Constantinople: 2 ETH/block
- Phase 0: Staking begins
- London: EIP-1559 burn
- The Merge: PoW removed

Issuance rewards: 2.7%/yr for stakers | Effective burn rate: 1.2%/yr for non-stakers | Supply growth flattened dramatically post-merge

ETH at 18.7% of Bitcoin's Market Cap

Securing $272B in native value with growing monetary premium



ETH Market Cap Ratio vs. Monetary Assets

Top ERC20s by Value

Dai	$4.41B
Shiba Inu	$3.51B
Cronos	$2.97B
Tether Gold	$2.65B

Top NFT Collections

CryptoPunks	$2.13B
Bored Ape Yacht Club	$0.68B
ENS	$0.63B
Pudgy Penguins	$0.51B

Key Takeaways

Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

1

Currently Inflationary

ETH is slightly inflationary at +0.83%/yr due to historically low gas (avg 0.1 Gwei), with burns offsetting only ~1% of issuance.

2

Burn Requires Activity

The EIP-1559 burn mechanism works but requires sustained on-chain activity to drive deflationary supply dynamics.

3

Massive Supply Lock

38.9M ETH (32% of supply) is staked, creating a significant supply lock with 9.1M ETH committed for avg 10.7 years.

4

Structurally Sound Equilibrium

Long-term equilibrium at 125.7M ETH is mathematically sound, requiring ~22 Gwei avg gas to balance ~1,037K ETH/year.

5

Growing Monetary Premium

18.7% of Bitcoin's market cap and $307B+ TVS demonstrate growing but still early monetary premium for ETH.

The ultra sound money thesis depends on on-chain activity recovery. At current gas levels, ETH remains inflationary — but the structural mechanics for deflationary supply are in place and await demand.